Retail Equity Research

# UNO Minda Ltd.

Automobile – Auto Ancillaries

**BUY**

12 Months Investment Period | Rating as per Midcap

BSE CODE : 532539 | NSE CODE: UNOMINDA
BLOOMBERG CODE: UNOMINDA: IN | SENSEX : 73,745

CMP Rs. 660 TARGET Rs.792 RETURN 20%
(Closing: 01-03-24)

*KEY CHANGES:* *TARGET* ↑ *RATING* ↔ *EARNINGS* ↓

## Key order book remains strong.

**UNO Minda Ltd. (UML) is a diversified auto ancillary supplier, manufacturing products such as switches, horns & lights. UML holds a leadership position in the switch business with a market share of 67%.**

- **The content per vehicle has continued to grow at 10%-15%, and it is expected to add more components to its product portfolio. The annual order value from EV OEM is Rs.3,292cr.**
- **Q3FY24 revenue came above expectations, registering a growth of 26%YoY.This was mainly on account of new customer additions in 2W/4W segment, new contents & leveraging the client base.**
- **EBITDA margin came in at 10.9%. However, higher personal costs and low operating leverage due to capacity expansion restricted the margin upside.**
- **We expect revenue CAGR to grow by 17% over FY24E-26E, factoring in demand stability, diversification and increase in content per vehicle.**
- **Currently, UML is trading at its long term historical avg of 36x. We believe the stock will continue to outperform owing to its diversified portfolio and strong order wins, and value UML at 33x FY26E EPS.**

## Potential portfolio to drive future growth

Q3FY24 consolidated revenue grew by 21% YoY, outperforming the industry growth of 16%YoY. The top line was fuelled by growth across all segments, in which core businesses like switches, lighting, and acoustics grew by 14%, 32%, and 8%, YoY, whereas new businesses like LMT, seating, and other businesses grew by 18%, 4%, and 36% YoY, respectively. EBITDA margin came in at 10.8% owing to a superior product mix and lower other expenses. PAT grew by 19.4% YoY. For the year, the company executed the JV agreement with Buehler Motor & Tach-S and received orders from multiple 2W EV OEMs for Traction motors. To meet the upcoming regulatory Airbag demand, Toyota Kosei Minda India has allocated capex of Rs.175cr., to expand its Neemarana plant and install airbag production equipment.

## Sustained outperformance with new product development.

UML's product diversification and increasing growth from new products give it better visibility on the revenue front. Enacting the auto norms and enhancing safety features will further lead to an increase in kit value per vehicle across the auto segment. The potential kit value of the EV 2/3W will further increase with the addition of traction motors. The company reiterated that the potential EV kit value for 2/3W is Rs.35,300 per vehicle. The product under production & supply is Rs.27,300/-, new orders received are Rs. 8,000/- respectively. The annual order value from EV 2W and PV is Rs 3,292cr. and Rs 829cr, respectively. Currently, the share from the EV is 12% of domestic 2W revenues, which is higher than the 2W industry penetration of 4%.

## New orders and expansion.

UML has a robust capex plan of Rs.750cr. for FY24. Incremental orders in the 4W lighting business from Indian and Japanese OEMs I received an incremental order for a 2W switch and heated handle grip from an American marque auto major. The revenue from other segments has grown by 47%YoY in the last 9 months. Within this controller and sensors was around Rs.230 cr. and was expected to cross Rs. 800cr. for the full year. The company is in the process of continuous expansion of its existing product portfolio and the addition of new product lines in alloy wheels, lighting, infotainment, seating, airbags, and blow molding.

## Valuations

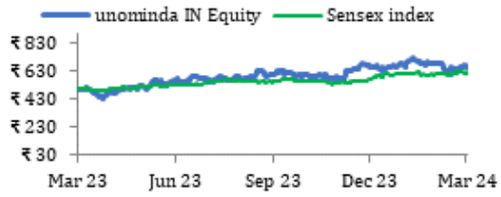
Despite the near-term pressure due to a reduction in the underlying volume and macroeconomic headwinds, we believe stability in commodity prices and chip supplies augurs well. The company is actively increasing its kit value across all segments and outpacing the industry's growth. UML's strong balance sheet and quick ramp-up reflect higher revenue visibility on a medium- to long-term basis. The stock has always traded at a premium due to its diversified product portfolio and new product offerings, according to changing trends. We value UML at 33x FY26E EPS, arrive at a target price of Rs.792, and maintain our Buy rating.

| Company Data | |
|---|---|
| Market Cap (Rs.cr) | 36,359 |
| Enterprise Value (Rs.cr) | 37,971 |
| Outstanding Shares (cr) | 57.3 |
| Free Float | 31% |
| Dividend Yield | 0.2% |
| 52 week high (Rs.) | 727 |
| 52 week low (Rs.) | 433 |
| 6m average volume (cr) | 0.06 |
| Beta | 0.8 |
| Face value (Rs.) | 2 |

| Shareholding (%) | Q1FY24 | Q2FY24 | Q3FY24 |
|---|---|---|---|
| Promoters | 70.1 | 68.7 | 68.7 |
| FII's | 6.5 | 7.8 | 7.9 |
| MFs/Insti | 17.1 | 17.0 | 16.9 |
| Public | 6.3 | 6.5 | 6.4 |
| Total | 100.0 | 100.0 | 100.0 |
| Promotor pledge | Nil | Nil | Nil |

| Price Performance | 3 Month | 6 Month | 1 Year |
|---|---|---|---|
| Absolute Return | -1.1% | -0.4% | 19.2% |
| Absolute Sensex | 8.9% | 9.7% | 18.3% |
| Relative Return* | -9.9% | -10.1% | 0.9% |

***over or under performance to benchmark index**




| Consolidated (cr) | FY24E | FY25E | FY26E |
|---|---|---|---|
| Sales | 13,902 | 16,286 | 19,106 |
| Growth (%) | 23.7 | 17.2 | 17.3 |
| EBITDA | 1,543 | 1,905 | 2,388 |
| EBITDA Margin (%) | 11.1 | 11.7 | 12.5 |
| Adj. PAT | 829 | 1,054 | 1,373 |
| Growth (%) | 26.8 | 27.2 | 30.2 |
| Adj. EPS | 14.5 | 18.4 | 24.0 |
| Growth (%) | 26.8 | 27.2 | 30.2 |
| P/E | 46.0 | 36.2 | 27.8 |
| P/B | 4.2 | 3.4 | 2.7 |
| EV/EBITDA | 11.8 | 9.7 | 7.8 |
| ROE (%) | 22.2 | 22.6 | 23.5 |
| D/E | 0.2 | 0.2 | 0.2 |

**Saji John**
**Research Analyst**

# Quarterly Financials (Consolidated)

## Profit & Loss

| Rs (cr) | Q3FY24 | Q3FY23 | YoY Growth (%) | Q2FY24 | QoQ Growth (%) | 9MFY24 | 9MFY23 | YoY Growth (%) |
|---|---|---|---|---|---|---|---|---|
| **Sales** | **3,523** | **2,915** | ***20.8*** | **3,621** | ***-2.7*** | **10,237** | **8,348** | ***22.6*** |
| **EBITDA** | **380** | **338** | ***12.2*** | **402** | ***-5.5*** | **1111** | **923** | ***20.4*** |
| EBITDA margins (%) | 10.8 | 11.6 | *-83bps* | 11.1 | *-31bps* | 10.9 | 11.1 | *-20bps* |
| Depreciation | 133 | 115 | *15.3* | 125 | *5.7* | 377 | 322 | *17.2* |
| **EBIT** | **247** | **223** | ***10.6*** | **211** | ***17.0*** | **734** | **601** | ***22.2*** |
| Interest | 29 | 13 | *127.7* | 27 | *5.3* | 77 | 49 | *58.2* |
| Other Income | 8 | 4 | *99.2* | 9 | *-11.4* | 25 | 30 | *-17.1* |
| Exceptional Items | 0 | 0 | *0.0* | 0 | - | 0 | 0 | *0.0* |
| **PBT** | **226** | **215** | ***5.3*** | **258** | ***-12.2*** | **682** | **582** | ***17.1*** |
| Tax | 65 | 66 | *-1.5* | 73 | *-11.5* | 182 | 152 | *20.1* |
| Share of profit from associates | 44 | 25 | *74.5* | 53 | *-17.8* | 127 | 76 | *68.4* |
| Minority interest | -12 | -12 | *0.0* | -13 | - | -32 | -35 | *0.0* |
| **Reported PAT** | **193** | **162** | ***19.4*** | **225** | ***-14.0*** | **595** | **471** | ***26.4*** |
| Adjustments | 0 | 0 | *0.0* | 0 | - | 0 | 0 | *0.0* |
| **Adj PAT** | **193** | **162** | ***19.4*** | **225** | ***-14.0*** | **595** | **471** | ***26.4*** |
| No. of Shares | 57 | 57 | - | 57 | - | 57 | 57 | - |
| **Adj EPS (Rs)** | **7.4** | **6.2** | ***19.4*** | **8.6** | ***-14.0*** | **22.8** | **18.0** | ***26.4*** |

## Change in Estimates

| | Old estimates | | New estimates | | Change (%) | |
|---|---|---|---|---|---|---|
| **Year / Rs cr** | **FY24E** | **FY25E** | **FY24E** | **FY25E** | **FY24E** | **FY25E** |
| Revenue | *13,980* | *17,128* | *13,902* | *16,286* | *-0.6* | *-4.9* |
| EBITDA | *1,587* | *2,141* | *1,543* | *1,905* | *-2.8* | *-11.0* |
| Margins (%) | *11.4* | *12.5* | *11.1* | *11.7* | *-25bps* | *-80bps* |
| Adj. PAT | *846* | *1,218* | *829* | *1,054* | *-2.0* | *-13.5* |
| EPS | *14.8* | *21.3* | *14.5* | *18.4* | *-2.0* | *-13.5* |

# Consolidated Financials

## PROFIT & LOSS

| Y.E March (Rs. cr) | FY21A | FY22A | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|---|---|
| **Revenue** | **6,374** | **8,313** | **11,236** | **13,902** | **16,286** | **19,106** |
| *% change* | 16.6 | 30.4 | 35.2 | 23.7 | 17.2 | 17.3 |
| **EBITDA** | **725** | **885** | **1,242** | **1,543** | **1,905** | **2,388** |
| *% change* | 17.1 | 22.1 | 40.3 | 24.2 | 23.5 | 25.3 |
| Depreciation | 336 | 371 | 409 | 481 | 544 | 606 |
| **EBIT** | **350** | **494** | **812** | **1,043** | **1,343** | **1,763** |
| Interest | 74 | 62 | 70 | 100 | 105 | 116 |
| Other Income | 47 | 63 | 49 | 35 | 49 | 76 |
| **PBT** | **325** | **494** | **791** | **978** | **1,286** | **1,723** |
| *% change* | 28.8 | 52.2 | 60.1 | 23.6 | 31.5 | 33.9 |
| Tax | 101 | 147 | 191 | 264 | 347 | 465 |
| *Tax Rate (%)* | 31.0 | 29.7 | 24.2 | 27.0 | 27.0 | 27.0 |
| **Reported PAT** | **207** | **356** | **654** | **829** | **1,054** | **1,373** |
| Adj* | 1.7 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Adj PAT** | **205** | **356** | **654** | **829** | **1,054** | **1,373** |
| % change | 21.2 | 73.7 | 83.7 | 26.8 | 27.2 | 30.2 |
| No. of shares (cr) | 27 | 57 | 57 | 57 | 57 | 57 |
| **Adj EPS (Rs.)** | **7.8** | **6.2** | **11.4** | **14.5** | **18.4** | **24.0** |
| % change | 22 | -21 | 84 | 27 | 27 | 30 |
| DPS (Rs.) | 0.5 | 0.2 | 0.2 | 0.2 | 0.2 | 0.2 |
| CEPS (Rs.) | 21 | 13 | 19 | 23 | 28 | 35 |

## BALANCE SHEET

| Y.E March (Rs. cr) | FY21A | FY22A | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|---|---|
| Cash | 360 | 112 | 294 | 617 | 1,540 | 2,821 |
| Accounts Receivable | 1,199 | 1,480 | 1,909 | 2,361 | 2,766 | 3,245 |
| Inventories | 751 | 939 | 1,227 | 1,535 | 1,784 | 2,077 |
| Other Cur. Assets | 241 | 367 | 496 | 613 | 718 | 843 |
| Investments | 127 | 416 | 449 | 695 | 814 | 955 |
| Gross Fixed Assets | 4,087 | 4,687 | 5,387 | 6,137 | 6,887 | 7,637 |
| Net Fixed Assets | 2,290 | 2,519 | 2,810 | 3,079 | 3,285 | 3,428 |
| CWIP | 112 | 125 | 125 | 125 | 125 | 125 |
| Intangible Assets | 605 | 590 | 574 | 560 | 546 | 532 |
| Def. Tax (Net) | 6.2 | 6.2 | 6.2 | 6.2 | 6.2 | 6.2 |
| Other Assets | 0 | 0 | 0 | 0 | 0 | 0 |
| **Total Assets** | **5,786** | **6,713** | **8,105** | **9,858** | **11,898** | **14,399** |
| Current Liabilities | 888 | 1,139 | 1,231 | 1,523 | 1,785 | 2,094 |
| Provisions | 174 | 228 | 308 | 381 | 446 | 523 |
| Debt Funds | 853 | 768 | 633 | 848 | 1,063 | 1,278 |
| Other Liabilities | 1,290 | 1,594 | 2,309 | 2,666 | 3,123 | 3,664 |
| Equity Capital | 54 | 114 | 114 | 114 | 114 | 114 |
| Reserves & Surplus | 2,221 | 2,563 | 3,204 | 4,019 | 5,060 | 6,419 |
| Shareholder's Fund | 2,275 | 2,678 | 3,318 | 4,134 | 5,174 | 6,534 |
| **Total Liabilities** | **5,786** | **6,713** | **8,105** | **9,858** | **11,898** | **14,399** |
| **BVPS (Rs.)** | **64** | **80** | **105** | **137** | **177** | **230** |

## CASH FLOW

| Y.E March (Rs. cr) | FY21A | FY22A | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|---|---|
| **Net inc. + Depn.** | **700** | **886** | **1,221** | **1,478** | **1,849** | **2,349** |
| Non-cash adj. | -2 | 0 | 0 | 0 | 0 | 0 |
| Changes in W.C | -404 | -198 | -205 | -471 | -369 | -488 |
| **C.F. Operation** | **294** | **688** | **1,016** | **1,007** | **1,480** | **1,860** |
| Capital exp. | -300 | -618 | -705 | -755 | -755 | -755 |
| Change in inv. | 146 | -288 | -34 | -246 | -119 | -141 |
| Other invest.CF | 17 | 65 | 100 | 160 | 160 | 160 |
| **C.F – Investment** | **-137** | **-841** | **-639** | **-841** | **-714** | **-736** |
| Issue of equity | 231 | 60 | 0 | 0 | 0 | 0 |
| Issue/repay debt | -165 | -85 | -135 | 215 | 215 | 215 |
| Dividends paid | -13 | -13 | -13 | -13 | -13 | -13 |
| Other finance.CF | -18 | -57 | -47 | -45 | -45 | -45 |
| **C.F – Finance** | **34** | **-95** | **-195** | **157** | **157** | **157** |
| Chg. in cash | 191 | -249 | 182 | 323 | 923 | 1,281 |
| Closing cash | 360 | 112 | 294 | 617 | 1540 | 2821 |

## RATIOS

| Y.E March | FY21A | FY22A | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|---|---|
| **Profitab. & Return** | | | | | | |
| EBITDA margin (%) | 11.4 | 10.7 | 11.1 | 11.1 | 11.7 | 12.5 |
| EBIT margin (%) | 5.5 | 5.9 | 7.2 | 7.5 | 8.2 | 9.2 |
| Net profit mgn.(%) | 3.2 | 4.3 | 5.8 | 6.0 | 6.5 | 7.2 |
| ROE (%) | 9.9 | 14.4 | 21.8 | 22.2 | 22.6 | 23.5 |
| ROCE (%) | 5.2 | 7.7 | 14.1 | 14.8 | 14.7 | 15.0 |
| **W.C & Liquidity** | | | | | | |
| Receivables (days) | 59.0 | 58.8 | 55.0 | 56.1 | 57.5 | 57.4 |
| Inventory (days) | 38.9 | 37.1 | 35.2 | 36.3 | 37.2 | 36.9 |
| Payables (days) | 69.0 | 63.3 | 63.4 | 65.3 | 64.9 | 64.8 |
| Current ratio (x) | 2.5 | 2.2 | 2.7 | 2.8 | 3.2 | 3.6 |
| Quick ratio (x) | 1.4 | 1.3 | 1.6 | 1.6 | 1.6 | 1.6 |
| **Turnover & Leverage** | | | | | | |
| Gross asset T.O (x) | 1.7 | 1.9 | 2.2 | 2.4 | 2.5 | 2.6 |
| Total asset T.O (x) | 1.1 | 1.3 | 1.5 | 1.5 | 1.5 | 1.5 |
| Int. coverage ratio (x) | 4.7 | 7.9 | 11.7 | 10.4 | 12.8 | 15.2 |
| Adj. debt/equity (x) | 0.4 | 0.3 | 0.2 | 0.2 | 0.2 | 0.2 |
| **Valuation** | | | | | | |
| EV/Sales (x) | 2.9 | 2.2 | 1.6 | 1.3 | 1.1 | 1.0 |
| EV/EBITDA (x) | 25.2 | 20.5 | 14.5 | 11.8 | 9.7 | 7.8 |
| P/E (x) | 85.0 | 107.1 | 58.3 | 46.0 | 36.2 | 27.8 |
| P/BV (x) | 7.7 | 6.5 | 5.2 | 4.2 | 3.4 | 2.7 |

## Recommendation summary (Last 3 Years)

*Source: Bloomberg, Geojit Research.*

| Dates | Rating | Target |
|---|---|---|
| 19th November 2020 | Accumulate | 204 |
| 25th February 2021 | Accumulate | 314 |
| 24th June 2021 | Accumulate | 361 |
| 14th December 2021 | Buy | 544 |
| 31st May 2022 | Buy | 538 |
| 23rd November 2022 | Accumulate | 634 |
| 17th February 2023 | Buy | 586 |
| 25th May 2023 | Buy | 601 |
| 4th September 2023 | Buy | 704 |
| 21st November 2023 | Buy | 745 |
| 01st March 2024 | Buy | 792 |

## Investment Criteria

| Ratings | Large caps | Midcaps | Small caps |
|---|---|---|---|
| Buy | Upside is above 10% | Upside is above 15% | Upside is above 20% |
| Accumulate | - | Upside is between 10% - 15% | Upside is between 10% - 20% |
| Hold | Upside is between 0% - 10% | Upside is between 0% - 10% | Upside is between 0% - 10% |
| Reduce/sell | Downside is more than 0% | Downside is more than 0% | Downside is more than 0% |
| Not rated/Neutral | | - | |

**Definition:**

**Buy:** Acquire at Current Market Price (CMP), with the target mentioned in the research note; **Accumulate:** Partial buying or to accumulate as CMP dips in the future; **Hold:** Hold the stock with the expected target mentioned in the note.; **Reduce:** Reduce your exposure to the stock due to limited upside.; **Sell:** Exit from the stock; **Not rated/Neutral:** The analyst has no investment opinion on the stock.

To satisfy regulatory requirements, we attribute 'Accumulate' as Buy and 'Reduce' as Sell.

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